

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE
(Complainants)

v.

MARINE TRANSPORT LOGISTICS, INC. AND
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC.
(Respondents)

RESPONDENTS REPLY TO COMPLAINANTS'
SECOND PETITION TO REOPEN PROCEEDINGS

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PRELIMINARY STATEMENT

Respondents respectfully submit this brief in Reply, pursuant to Rule 230(b), opposing Complainants' September 27, 2017 Second Petition to Reopen the Proceedings (hereinafter, Complainants' "Second Petition"). 46 C.F.R. 502.230.

At the very outset, Respondents deny that Royal Finance Group, Inc. ("RFG") check no. 5100 was "purposefully altered" (as alleged by Complainants) to change the memo notation number from "83038" to "1011." In particular, because the memo notation number of "83038" is correct and supports Respondent's position that there is no Shipping Act violation, claim or injury. Thus, there would be no reason to "purposefully alter" the check's memo notation number. And, Respondents did not do so.

Moreover, Complainants have failed to present any new and material evidence that would change the June 17, 2017 Initial Decision by Administrative Law Judge Clay G. Guthridge. Complainants' arguments, many of which are patently devoid of any merit or relevance, are addressed in greater detail, as follows.

A. Complainants' allegations of a Shipping Act claim, violation or injury concerning the export of the Monterey and Chaparral Boats are misguided and incorrect, as a matter of law, because the two boats were successfully exported to Dubai.

One of Complainants' "new" arguments is that Respondent Solovyev and/or RFG failed to "forward" ocean freight payments to Respondent MTL, for the May 5, 2013 export movement from the U.S. to Dubai of the Monterey Boat and the May 22, 2013 export movement from the U.S. to Dubai of the Chaparral Boat. As will be discussed in Point II and Point III, infra,

Respondent Solovyev forwarded all required payments to MTL. Respondents did not “purposefully alter” any payments, nor did Respondents conceal any evidence of the payments.¹

More importantly, both the May 5, 2013 export movement of the Monterey Boat and the May 22, 2013 export movement of the Chaparral Boat *were performed* by Respondent MTL (as NVOCC) and by non-party Maersk Line (as VOCC). As conceded by Complainants, and as held in the Initial Decision, both boats were delivered to the consignee “without problem” and “Complainants do not claim violations of the [Shipping] Act occurred when the boats were transported to Dubai.” Initial Decision, at p. 21; ALJ Findings of Fact in the Initial Decision, 44-50. C

Complainants’ “new” allegations simply miss, or ignore, the actual law. There is no legal basis for reopening the proceeding, because even if the Commission accepts, arguendo, that RFG “failed to forward” ocean freight payments to the NVOCC and/or the VOCC, Complainants were not injured thereby. Furthermore, Complainants’ allegations are also incorrect as a matter of fact because all required payments were made and the export services were performed. Consequently, Complainants do not now, nor have Complainants ever had, a Shipping Act claim, violation or injury concerning the export of the Monterey and Chaparral Boats.

B. There is no contract of carriage, express or implied, for the U.S. to Dubai export of the Formula Boat.

Complainants next revisit their prior argument that an “implied” contract of carriage existed for the U.S. to Dubai export of the Formula Boat. In making this argument, and as discussed in Point IV and Point V, infra, Complainants allege that a “newly discovered” \$8,400

¹ When RFG check no. 5111 is enlarged, it is apparent that the memo notation number was not “purposefully altered” to change the number. See, Point III, infra, and Respondents’ Appendix “1”, “2”, and “3”. Instead, it is simply an issue with legibility of a smaller-sized scanned document.

check was made as an “advance payment” for the ocean freight, which created an implied contract of carriage and a Shipping Act violation.

However, Complainants are again incorrect as a matter of fact and as a matter of law. This \$8,400 payment related to a different ocean shipment of a Searay Boat and Venture Boat. It is, thus, not “new” or “newly discovered” evidence because it does not relate to this proceeding. As a matter of law, Complainants are incorrect because the clear record and findings in the Initial Decision were that: (i) Complainants did not pay for ocean freight; (ii) the Formula Boat was *not exported*; (iii) Complainants believed it was “good” that the Formula Boat was not exported; (iv) and Complainants wanted the Formula Boat shipped to Dubai. See, ALJ Findings of Fact in the Initial Decision, 77, 79, 85, 92 (Finding no. 92: Complainants’ February 14, 2012 email stating “It is good that we did [not] have time to send [the Formula Boat] to Dubai.”)

The foregoing establishes that Complainants will never be able to allege a Shipping Act claim, violation, or injury relating to the Formula Boat. Complainants have not alleged any injuries resulting from the “non-export” to Dubai of the Formula Boat. The unrelated \$8,400 payment by RFG to Respondent MTL, even if the Commission accepts arguendo Complainants’ erroneous speculation, would not change the findings of the Initial Decision.

C. Complainants’ allegations concerning the Title of the Formula Boat and/or its trailer, are not properly before the Commission and do not validly allege a Shipping Act claim, violation, or injury.

In conjunction with the foregoing, Complainants next allege that Respondent MTL would have been “unable” to export the Formula Boat because non-party Car Express & Import, Inc. (hereinafter, “Car Express”) did not register a Title in 2013 or procure a Title for a “trailer.” This argument is completely meritless and is addressed in Point VI, infra.

However, Complainants' allegations fail factually because it is undisputed that Car Express purchased the Formula Boat in 2013. ALJ Findings of Fact in the Initial Decision, 74. Car Express, thus, had the authority and ability to apply for, register, or transfer Title to the Formula Boat at any time; contingent, first, upon Complainants deciding on what to do with the Formula Boat (e.g., whether to ship it to Florida or Dubai) and making a booking for ocean carriage. This was the process followed between the parties for every other boat shipped by Respondent MTL. See, e.g., ALJ Findings of Fact in the Initial Decision, 43 ("Other than the three boats at issue in this proceeding, Complainants did not have any problems with boats purchased and shipped to Dubai using Solovyev and his companies.")

As a question of law, Complainants' allegations fare no better. Any alleged failure to register Title is *not* a Shipping Act violation or within the jurisdiction of the Commission. And, notwithstanding the absence of a Shipping Act violation or Commission jurisdiction, Complainants have not alleged, or suffered, any injury as an actual or proximate cause of Respondent MTL's speculated "inability" to export the Formula. The reality is that Respondent MTL never attempted to export the Formula to Dubai because there was no booking, instruction or contract of carriage between Complainants and any Respondent to do so. And, as held in the Initial Decision, the Formula Boat was *never exported* and Complainants wanted the Formula Boat to be shipped to Florida.

D. Complainants and their counsel have demonstrated a pattern of alleging that a respondent is "defrauding" the Commission whenever confronted with an adverse decision; but, there is no legitimate basis for involving the Bureau of Enforcement in this proceeding.

Complainants also allege that Respondents are "defrauding" the Commission, based on Complainants' incorrect and erroneous claim of a "fraudulent" check and other concealed evidence. But, Respondents did not fraudulently or purposefully "alter" the evidence or conceal

any material evidence. Rather, this seemingly follows a well-established pattern of Complainants and/or their counsel retaliating against the respondents whenever confronted with an adverse decision due to (i) the complainants' failure to bring a valid Shipping Act claim, violation or injury before the Commission; and/or (ii) the prospect of paying attorneys fees brought about by the complainants' frivolous, and vexatious, practice. See, e.g. Baltic Auto Shipping, Inc. v. Michael Hitrinov, FMC Docket No. 14-16; Igor Ovechnikov, et al. v. Michael Hitrinov, FMC Docket No. 1953(I); MAVL Capital, Inc. et al. v. MTL, FMC Docket No. 16-16. This is addressed in Point VII, infra, but in summary, there is no legitimate non-retaliatory basis for involving the Bureau of Enforcement.

PROCEDURAL HISTORY.

It is important to discuss the history of this proceeding following the June 17, 2016 Initial Decision. The history demonstrates that Complainants are doing everything possible to delay a Final Decision, including filing outrageous requests for enlargements of time (e.g., requesting an enlargement of time of over 5 months to file Exceptions); filing unsuccessful Petition(s) to Reopen; and filing unwarranted motion(s) for leave to file replies. – See, e.g. Complainants' September 5, 2016 Motion for Enlargement; "First" Petition to Reopen Proceedings (denied by the Commission on March 6, 2017). The result is that Complainants have now "successfully" delayed a Final Decision in this proceeding from the initial date of December 19, 2016 to February 6, 2018.

To elaborate, after the Initial Decision issued on June 17, 2016 in this proceeding, a Final Decision by the Commission deadline for issuance was set for December 19, 2016. On July 6, 2016, Complainants sought and obtained an enlargement of time to September 12, 2016 to file

Exceptions. This resulted in the Final Decision issuance date being extended to February 20, 2017.

On September 5, 2016, Complainants requested and obtained a *second* enlargement of time to file Exceptions. Complainants requested an enlargement of over 5 months, i.e., from September 12, 2016 [the date provided for after Complainants' first enlargement of time] to February 12, 2017. See, Complainants' September 5, 2016 Motion. The Commission granted an enlargement of time to October 27, 2016. The Final Decision issuance date as, consequently, extended again to April 6, 2017.

On October 27, 2016, Complainants *did not* file Exceptions. Instead, Complainants filed their "First" Petition to Reopen Proceedings, on the alleged basis of there being "new" and "material" evidence. After Respondents opposed the Petition, Complainants followed with a "Motion for Leave to File a Reply." On March 6, 2017, the Commission denied both of Complainants' filings, holding that "Complainants have not shown any material change in the law or the facts or any other justification for reopening the record." See, Memorandum and Opinion, dated March 6, 2017, Docket no. 15-04, at p. 15.

On March 13, 2017, Complainants finally filed Exceptions. Consequently, the April 6, 2017 deadline for issuance of a Final Decision was extended once again to October 6, 2017. Subsequently, by Complainants own admission, on or about July 24-25, 2017, Complainants obtained "new evidence."² But, Complainants did not immediately or even promptly file a "Second" Petition to Reopen Proceedings upon receiving this "new" evidence. Instead,

² As discussed throughout this Reply, none of the evidence is "new" or "material." But, this does not change the fact that, by Complainants' counsel's own admission, the evidence was "received by Complainants on or about July 26, 2017 pursuant to a subpoena issued to CitiBank" and "The evidence also consists of a New York State Department of Motor Vehicles response . . . received on or about July 24, 2017.") See, Second Petition, at p. 2.

Complainants waited until over 2 additional months until September 27, 2017, to file the instant Second Petition. The significance and clear purpose behind this delay is that Respondents would not have been able to fully brief a Reply and the Commission would not be able to rule on the Second Petition before October 6, 2017 (i.e., the deadline for issuing a Final Decision). Consequently, the Commission extended the deadline for issuance of a Final Decision, one more time, to February 6, 2018.

At this point, assuming that the Commission also denies Complainants' Second Petition, Respondents must anticipate yet another Petition or other means of delaying a Final Decision in 2018. This is because, as made clear in this Reply and in all other filings before the Commission, Complainants plainly do not have a meritorious Shipping Act claim, violation, or injury, but have instead taken every opportunity possible to “retaliate” and drive up the costs of litigation for Respondents. Any delay of a Final Decision, thus, is already a victory at this point for Complainants and their counsel.

REPLY

I. COMPLAINANTS' EVIDENCE IS NOT NEW, NEWLY-DISCOVERED, OR MATERIAL, BECAUSE IT IS NOT RELEVANT TO THE PROCEEDING AND DOES NOT CREATE A SHIPPING ACT CLAIM, VIOLATION OR INJURY.

Complainants' Second Petition does not meet the requirements for reopening the record. Only relevant and material evidence need be considered by the Commission and, as addressed herein, Complainants' “evidence” does not prove a material change in the law or facts, nor does it create a Shipping Act claim, violation, or injury with respect to any of the boats in this proceeding.

However, aside from failing to meet the *legal requirements*, Respondents emphasize that Complainants' allegations are also factually incorrect and, in particular, the allegation that

Respondents “purposefully altered” a RFG check to change the memo notation number is ***completely false***.

Accordingly, in order to persuade the Commission to reopen a proceeding pursuant to Rule 230, the burden is on Complainants to prove that there exist grounds requiring “reopening the proceeding, including material changes of fact or of law alleged to have occurred since the conclusion of the hearing.” 46 C.F.R. § 502.23(a). Moreover, even if the moving party has evidence that was not previously available, the moving party must demonstrate that this new evidence relates to “material changes of fact”, i.e., that “there is a reasonable probability that it will change the outcome.” Green Master Int’l Freight Serv. Ltd. - Possible Violations of Section 10(a)(1) and 10(b)(1) of the Shipping Act of 1984, 29 S.R.R. 1303, 1318 (FMC 2003).

Complainants, thus, have not met either the factual or legal standard for reopening the proceeding. It is further submitted that Complainants will *never* be able to meet this standard, because if any facts exist to show an *injury* that is related to a Shipping Act claim or violation, to change the Initial Decision, such evidence *must* be in Complainants’ possession and would have been brought to the Commission’s attention already.

II. THERE IS NO SHIPPING ACT CLAIM, VIOLATION, OR INJURY RELATING TO THE SUCCESSFUL EXPORT OF THE MONTEREY AND CHAPARRAL BOATS.

Complainants first argue that Respondent Solovyev, and/or his company “RFG” was “acting as an OTI without a license when it collected monies for ocean freight and *failed* to forward said monies” to the NVOCC and VOCC for the 2013 outbound export of the Monterey and Chaparral Boats from the U.S. to Dubai. See, Second Petition, at p. 3 (emphasis original.) This allegation is completely untrue.

Moreover, regardless of Complainants' erroneous allegations, Complainants have ignored the legal point of Complainants' own prior admissions, of the Initial Decision, the Commission and of the Shipping Act. Specifically, if Complainants wish to allege a valid Shipping Act claim, there must be an injury resulting from a Shipping Act violation. That is, here, Complainants must allege that an injury was suffered as a result of a Shipping Act violation during the *successful export* of the Monterey and Chaparral Boats.

Complainants will not be able to do so. This is because Findings of Fact in the Initial Decision, and indeed, all of Complainants' prior testimonies, unanimously and undisputedly conclude that the outbound export of the Monterey and Chaparral Boats occurred successfully with no problems whatsoever. See, ALJ Findings of Fact in the Initial Decision, 50 ("The Monterey arrived in Dubai and was delivered to Middle East Asia Alfa, FZE"); 56 ("The Chaparral arrived in Dubai and was delivered to Middle East Asia Alfa, FZE")³. Or, in the words of Complainants and their counsel:

On its way from New Jersey to Dubai at that point everything was fine still.

May 13, 2016 Hearing, FMC Docket No. 15-04, Tr. at p. 53:13 – 15. This proceeding does not involve facts where Respondents, "collected money . . . but failed to provide any services in return." C.f. Alexandre Kaminski v. Keystone Limited, 1993 WL 275857, Informal Docket NO. 1739(i) (F.M.C. 1993)(cited by Complainants at Proposed Findings, p. 23). The undisputed facts establishing that the service *was performed successfully*, raises serious questions as to whether Complainants are now arguing, in good faith, or if these arguments are being brought for an

³ "Complainants do not claim violations of the Act occurred when the boats were transported to Dubai." Initial Decision, at p. 21, Part VII(A)(1).

improper purpose (e.g., to harass Respondents, to delay a Final Decision, and to needlessly increase the costs of litigation.)⁴ See Fed. R. Civ. P. 11(b).

Based on the foregoing alone, the Commission could simply stop here and deny Complainants' Second Petition with respect to the Monterey and Chaparral Boats. None of Complainants' allegations in the Second Petition concerning "non-forwarded" payments can create a Shipping Act claim where no injury is admitted (by Complainants) to exist, nor would any of these allegations alter the Initial Decision. Complainants, obviously, cannot establish that any Shipping Act violation occurred during the outbound export, much less prove that the violation was a cause of Complainants' (non-existent) injury. Jonny and Adriana Bossle v. Keystone Limited, 1993 WL 104678, at *3, Informal Docket No. 1721(I) (F.M.C. 1993)(for complainants to prevail, it must be established that the violation was the cause of complainants' injury.) Complainants have, thus, failed to establish that any "new evidence" justifies reopening this proceeding.

III. RESPONDENTS DID NOT ALTER OR CONCEAL EVIDENCE OF PAYMENTS FORWARDED BY RESPONDENT SOLOVYEV FOR THE MONTEREY AND CHAPARRAL BOATS.

But, in addition to the foregoing point, Complainants' allegations are incorrect and false. The reality is that Respondent Solovyev *did* make the required payments of the ocean freight to Respondent MTL. To avoid any impression of wrongdoing generated by Complainants' allegations, Respondents make clear below that: (i) Respondents did not purposefully alter any evidence; and (ii) Respondents did not "conceal" relevant or material evidence relating to payments for the Monterey or Chaparral Boats.

⁴ Do Complainants or their counsel seriously expect the Commission to believe that Respondent MTL or the VOCC, acted gratuitously in providing the ocean carriage without receiving payment of ocean freight? And, again, even if this occurred and RFG had failed to make payment of ocean freight to MTL, how did this injure Complainants?

A. The memo notation number of “83038” on RFG check no. 5100 is a reference number used by MTL for the Monterey Boat.

Complainants’ argue that RFG did not make payment for ocean freight of the Monterey Boat, and that Respondents “purposefully altered” a check to change the notation number of “83038” because “83038” is a number allegedly “having no connection to the Monterey Boat.” See, Second Petition, at pp. 14-15. This argument is simply incorrect and evidences Complainants’ lack of due diligence and/or bad faith.

In fact, “83038” *is the reference number* used by MTL in its system to identify the Monterey Boat for export. This same “83038” reference number is identified on MTL bill of lading HBOL 13535, for the U.S. to Dubai ocean carriage of the Monterey Boat. See, Respondents’ Appendix “1 ” (reference number “WR 83038” highlighted under the “Marks and Numbers” column.) Nothing more should need to be said. Complainants were plainly wrong; the “83038” reference number *is correct*. The RFG check is and was what it was represented to be: a payment made to MTL for ocean freight for the export of the Monterey Boat.

Additionally, for purposes of Complainants’ intent to reopen proceedings, it should not be lost that the MTL bill of lading *and* the RFG check are not “new” or “newly discovered” evidence. The two documents were in Complainants’ possession well before the June 17, 2016 Initial Decision; Complainants even annexed the MTL bill of lading as CX 006 to their pre-Initial Decision submission to ALJ Guthridge. To summarize, the evidence is not “new” or “newly discovered.” It is furthermore, not “material” because the presence or even alleged absence of this payment does not create a Shipping Act claim, violation or injury relating to the outbound export of the Monterey Boat.

B. Respondents did not fraudulently or purposefully alter the memo notation number to change a correct number (i.e., “83038”) to an incorrect number, as alleged by Complainants.

Because the “83038” notation number is *correct*, there would not have been any reason or basis for Respondents to fraudulently or “purposefully alter” the number, as is alleged by Complainants. The allegation is meritless and improper; not to mention offensive. It also reveals an absence of due diligence by Complainants, especially when the reference number is present on the MTL bill of lading. Of course, had Complainants or their counsel ever legitimately believed the check, or the forwarded payment, to be an issue in this proceeding, such concern could and should have been raised prior to the Initial Decision.

Consequently, Complainants’ erroneous belief that the check had been “purposefully altered” is simply untrue. The innocuous reality is that RFG check no. 5100, when printed by Respondent Solovyev from the CitiBank records, was small in size to begin with (as 1 of 9 other unrelated checks on the same document.) See, Respondents Appendix “2”. As a result, the printing, typeface, and handwriting on the checks were less legible than the enlarged copy apparently obtained by Complainants via their subpoena to CitiBank. C.f., Complainants’ Appendix “I.” When the same Appendix “1” document was scanned and bates-numbered for production in this proceeding, the checks “shrunk” once again (to avoid bates-numbering over the document.) See, Respondents Appendix “3”. This, purportedly, gave rise to Complainants’ present allegation that the document was “purposefully” or fraudulently altered.

But, Complainants’ allegations are simply untrue, and are really too far-fetched to even be given any credit. Enlarging the documents shows that the memo notation number in check no. 5100 was not “purposefully” altered to change the number. It was simply reduced in legibility

with each successive copy. See, Respondents Appendix “4” – an enlargement and cutout of the check provided for the Commission’s convenience.

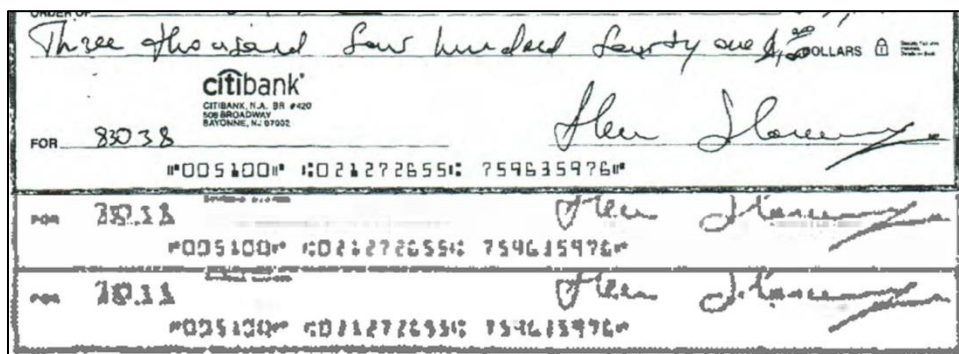


Figure A – Complainants Appendix “I” (top), Respondents Appendix “A” (middle), and Respondents Appendix “B” (bottom)

As visible from the above Figure A – and in Respondents’ Appendix “4” – the CitiBank copy is the most legible and clearly identifies the memo notation number as “83038.” The enlargement of the other copies (which were smaller and less legible to begin with) is indeed less legible. But, what is evident is that the printing, typeface, and handwriting on the copies were not purposefully altered to change any of the numbers.

Lastly on this point, in a routine proceeding before the Commission or in any court of law, a concern regarding the legibility of a document is ordinarily handled by correspondence between the parties. If Complainants or their counsel ever legitimately believed that this payment was relevant, Complainants need only have requested a more legible copy or the parties could have stipulated to the memo notation number. Unfortunately, this was not done by Complainants and instead, Complainants leapt to the conclusion of fraud, forcing Respondents and the Commission to respond accordingly.

C. **Respondents forwarded all required payments for the successful U.S. to Dubai export of the Chaparral Boat.**

Complainants' argument that payments were not made to Respondent MTL for the ocean freight of Chaparral Boat is similarly erroneous. Ultimately, Complainants simply "dispute" that the payment was made because they allege that Respondents are "lacking in credibility;" having allegedly "altered" evidence. As already explained, RFG check no. 5100 was not altered. And, proof of the forwarded payment for the outbound ocean freight of the Chaparral Boat has been produced. The fact that Complainants and their counsel "refuse" to accept it as proof is not a basis for reopening the proceeding. Quite frankly, Respondents cannot be liable for Complainants' delusions.

1. **RFG check no. 5111, in the amount of \$6,025, was a forwarded payment applied to U.S. to Dubai export of the Chaparral Boat.**

During the course of discovery in this proceeding, Respondents produced RFG check no. 5111, in the amount of \$6,025. Respondents also did not "conceal" or "actively secret" evidence of the payment. This payment is and was what it was represented to be: payment forwarded to MTL for ocean freight on the *successful* U.S. to Dubai export of the Chaparral Boat. The payment is also not "new" or "newly discovered." See 46 C.F.R. § 502.23(a). This check was produced by Respondents in discovery well before the June 17, 2016 Initial Decision, and it was annexed by Complainants as CX 014 to their pre-Initial Decision submissions

2. **Regardless of Complainants' disbelief that payment was made, Complainants have not alleged a valid Shipping Act claim, violation or injury.**

Complainants also have not presented any reason for the Commission to reasonably believe that the outcome of Initial Decision would be changed. The Initial Decision by ALJ Guthridge, makes it clear that "because Solovyev made it known that he was acting as an agent

for the disclosed NVOCC principal MTL, Solovyev did not hold himself or RFG out to the public to provide transportation and did not assume responsibility for Complainants' boats." Initial Decision, at p. 21.

This result is not changed, nor would it be expected to change, whether Complainants believe that the freight payment was forwarded or not. And, it is undisputed that the ocean carriage services *were successfully provided* for the export of the Chaparral Boat. Thus, Complainants have not and will never be able to allege an injury actually and proximately resulting from an alleged violation.

3. **An “adverse inference” would not create a Shipping Act injury or claim, because the Chaparral Boat was *successfully* exported from the U.S. to Dubai.**

Complainants' request for an “adverse inference” also does not change the situation or change the Initial Decision. The gist of Complainants' argument on this point is that Complainants did not believe that the forwarded payment was made, and requested “an appropriate sanction . . . or direct an adverse inference against respondents with respect to the absence of bank records pertaining to the Chaparral.” See, Second Petition, at p. 15. Again, it is important to point out that the bank records are not “absent.” Complainants simply, without any meritorious basis or cause, refuse to accept it.

But, Complainants also do not explain how an “adverse inference” would be material or how such inference would create a Shipping Act claim, violation or injury when none exists. Is the adverse inference that Respondent Solovyev *did not* forward payment to MTL for ocean freight, and that MTL and/or Maersk subsequently performed the ocean carriage of the Chaparral Boat for free? Even assuming this is the case, Complainants still do not have a valid Shipping Act claim, violation, or injury. An “adverse inference” thus, does not help Complainants. See,

e.g. Jonny and Adriana Bossle v. Keystone Limited, 1993 WL 104678, at *3, Informal Docket No. 1721(I) (F.M.C. 1993), supra.

For all the foregoing reasons, it is respectfully submitted that Complainants' Second Petition should be denied. Complainants have not, nor will Complainants *ever*, allege[d] an injury from *the successful export* from the U.S. to Dubai of the Monterey and Chaparral Boats. Complainants' erroneous and bad faith allegations of discovery misconduct, which have been disproven, do not change the Initial Decision. The allegations do not create a Shipping Act claim, violation or injury.

IV. COMPLAINANTS HAVE NOT PROVEN THAT AN INJURY OCCURRED AS A RESULT OF A "CONTRACT OF CARRIAGE" TO EXPORT THE FORMULA BOAT.

With regard to the Formula Boat, the Initial Decision, held that: (i) "Complainants and Respondents (MTL, Solovyev, or any of Solovyev's companies) never entered into an agreement to transport the Formula by water from the United States to a foreign port; and (ii) an agreement to transport the Formula from New Jersey to Florida, is not an agreement to "provide transportation by water . . . of cargo between the United States and a foreign country." Initial Decision, at p. 26. This finding was not disturbed by any of Complainants' Exceptions, and it is not changed by any of the "new evidence" now.

A. Complainants' numerous prior arguments respect to the Formula Boat were all without merit or relevance.

Prior to this Second Petition, Complainants made numerous, constantly-changing, arguments, in an attempt to create a Shipping Act claim, violation, and injury, when none exists. All of the prior arguments were without merit.

First, Complainants alleged that Respondents violated the Shipping Act when they “failed to ship” the Formula Boat to Dubai and that “the idea was for MTL to ship the boat to Dubai.” See, e.g. Complainants’ January 14, 2016 Pre-Hearing Brief; May 13, 2016 Hearing, FMC Docket No. 15-04, Tr. at p. 96:21-22. As ALJ Guthridge correctly found in the Initial Decision: an idea is *not* a contract of carriage nor would an idea create Shipping Act jurisdiction. The reality is that (i) there is no contract of carriage; (ii) Complainants did not pay for ocean freight to Dubai; (iii) no bill of lading was issued for Dubai; (iv) no ocean carriage was provided, (v) the absence of ocean carriage did not injure Complainants; and (v) in February the following year, Complainants “instructed Solovyev to ship the Formula [Boat] to Miami.” ALJ Findings of Fact in the Initial Decision, 87, 88, 91.

On October 27, 2016, Complainants filed their “First” Petition to Reopen. that the Petition, Complainants argued that the Formula Boat “was intended for export” and, thus, the Formula Boat was part of foreign commerce. See, e.g. Complainants’ First Petition⁵, at p. 9. The Commission rejected this argument on March 6, 2017, because Complainants failed to show that “the parties actually entered into a contract to the transport the Formula [Boat] to Dubai or any other foreign destination” and “it is undisputed that the Formula never left the United States.” Commission Memorandum Opinion and Order, Docket No. 15-04, at p. 14.

Complainants’ then filed Exceptions on March 13, 2017. This time, Complainants turned to a new argument and argued that an “implied contract of carriage” existed. Respondents submitted their response, and the Exceptions are presently before the Commission.

⁵ Complainants and their counsel misrepresented the Fifth Circuit’s decision in State of Texas v. Anderson, Clayton & Co., 92 F.2d 104, 107 (5th Cir. 1937) , by deliberately omitting the critical elements of the Fifth Circuit’s decision to the Commission. In particular the Fifth Circuit held that only “temporary” stoppages intrastate did not deprive an interstate movement of its interstate character [this was purposefully omitted from Complainants’ quotation of the holding.]. Complainants’ counsel repeated this error in their March 13, 2017 Exceptions.

B. Complainants still have not alleged a Shipping Act claim, violation, or injury concerning the Formula Boat.

What Complainants still have not alleged, however, is how a “breach” of a contract of carriage for the Formula Boat, whether such contract of carriage is express or implied, *actually resulted in injury* to Complainants. Complainants, for example, do not allege that a sales contract existed in Dubai for the Formula Boat and that the non-export resulted in a loss of a sale. In this proceeding, the *actual facts* are that Complainants did not incur any injury whatsoever from the non-export of the Formula Boat.

To the contrary, the absence of a contract of carriage *benefited* Complainants. Had a contract of carriage actually existed; had Complainants paid for ocean freight; and had the Formula Boat actually been exported to Dubai, Complainants undoubtedly would have incurred added costs in needing to return the (unsold) Formula Boat to the U.S. in 2014, after the collapse of Complainants’ unsuccessful commercial enterprise in Dubai. As Complainants’ testified, “It is good that we did [not] have time to send [the Formula Boat] to Dubai.” ALJ Findings of Fact in the Initial Decision, 92.

Consequently, regardless of whatever facts Complainants try to create, Complainants will never be able to allege an actual injury relating to the Shipping Act for the Formula Boat. A violation of the Shipping Act, and any subsequent claim or reparation to a complainant, does not exist in a vacuum. In order for any complainant to prevail, it must be established that: (1) a respondent is subject to the Shipping Act; (2) that the respondent’s actions violated the Shipping Act; and (3) that those violations were the cause of the complainant’s injury. Jonny and Adriana Bossle v. Keystone Limited, 1993 WL 104678, at *3, Informal Docket No. 1721(I) (F.M.C. 1993). All three must be established by Complainants in this proceeding. Here, where

Complainants will never be able to allege either a violation or an injury, there is no justification for reopening the proceeding or delaying a Final Decision.

V. **THE \$8,400 PAYMENT FROM ROYAL FINANCE GROUP, INC. TO RESPONDENT MTL WAS NOT RELATED TO THE FORMULA BOAT.**

Complainants then speculate, without any basis, that RFG check no. 5135, in the amount of \$8,400, was an “advance payment” for export ocean freight for the Formula Boat. See, Additional Proposed Findings of Fact, at p. 2. **This is incorrect.** It should also not be lost that (i) Complainants never paid *anyone* for ocean freight to Dubai; (ii) a booking confirmation or bill of lading never issued for the Formula Boat; (iii) and the Formula Boat did not leave the U.S. and, instead, Complainants wanted the Formula Boat sent to Florida.

A. **The \$8,400 was a payment for a previous, and unrelated, export movement of a Searay Boat and Venture boat.**

RFG check no. 5135 to MTL, dated August 15, 2013, in the amount of \$8,400, was *not* a payment for the Formula Boat. See, Complainants Appendix “A”. This check was not produced during discovery, because it was for an ***unrelated shipment*** of a Searay and Venture Boat to Dubai. See, Respondents’ Appendix “5”. The memo notation line of check no. 5135 indicating “Andrey/Dubai” is not dispositive or conclusive, because Mr. Andrey Tretyakov was Complainants’ employee in Dubai and *every shipment* of boats involving Complainants, involved Mr. Tretyakov and Dubai.

This “evidence” was not hidden, concealed, or even relevant. Respondents were not required, nor would Respondents be expected, to produce evidence of payments for unrelated shipments. Complainants did not request any discovery on unrelated shipments, nor did Complainants themselves produce any documents on the unrelated shipments. It is simply inequitable to now require Respondents to have to “disprove” speculation by Complainants, or to

allow Complainants to “reopen” a proceeding to conduct irrelevant discovery. If Complainants had a non-frivolous reason to want discovery concerning payments or shipment of the *other* boats that “did not have any problems,” it was incumbent on Complainants to request such discovery *prior to the Initial Decision*.

B. Complainants never paid ocean freight for the Formula Boat.

The keypoint herein is that Complainants never paid anyone for ocean freight, nor were Complainants ever requested by Respondents to *repay* “advanced” ocean freight. Even when engaging in speculation as propounded by Complainants, and even *assuming* that RFG advanced \$8,400, “out of pocket” for ocean freight to Dubai in August 2013, the question which Complainants cannot answer affirmatively is: when did Complainants *repay* RFG for the \$8,400 for the Formula Boat? Or, do Complainants expect the Commission to believe that RFG simply “advanced” ocean freight monies for services that were never requested nor provided, and then simply absorbed the loss?

There are only three invoices from RFG to Complainants that are relevant: Invoice #1189AT, dated August 7, 2013 in the amount of \$59,780; the subsequent Invoice# 1189AT, dated August 7, 2013, in the amount of \$77,280; and Invoice# 1204 AS, dated December 3, 2013, in the amount of \$17,950.00. ALJ Findings of Fact in the Initial Decision, 77, 79, 85. As found by ALJ Guthridge, and which was not disputed at any time by Complainants during this proceeding, Complainants *never paid* the \$12,000 for “Loading/Shipping to Dubai”, the \$500.00 for “Commission” or the \$500.00 for “Documentation.” ALJ Findings of Fact in the Initial Decision, 88.

In view of the foregoing, all of Complainants' quibbles are plainly without merit. Accordingly, Respondents respectfully submit that the Commission should deny Complainants' Second Petition.

VI. ALLEGATIONS CONCERNING THE TITLE FOR THE FORMULA BOAT OR TRAILER, OR CONCERNING OWNERSHIP OF WORLD EXPRESS & CONNECTION, INC., DO NOT CHANGE THE INITIAL DECISION.

Complainants cannot prove an *injury* related to any Shipping Act violation. In other words, *even if* Complainants had “new evidence” to show that a violation of the Shipping Act occurred – which Complainants have still yet to prove – it is only material to a Shipping Act *claim* if there an actual and proximately related injury. Green Master Int’l Freight Serv. Ltd. - Possible Violations of Section 10(a)(1) and 10(b)(1) of the Shipping Act of 1984, 29 S.R.R. 1303, 1318 (FMC 2003) (“material facts” are facts that might “affect the outcome” under “governing law”) (citing Gonzalez v. Torres, 915 F. Supp. 511, 515 (D.P.R. 1996)). It is obvious that Complainants and their counsel have “misunderstood” this point.⁶ Throughout all of Complainants’ allegations, their “First” Petition to Reopen, and now this Second Petition, Complainants and their counsel do not once specify how any violation of the Shipping Act resulted in injury.

A. Car Express & Import, Inc. purchased the Formula Boat in 2013 and the “Title” could have been registered at any time for export.

Complainants’ allegations concerning the “Title” to the Formula Boat and Respondent MTL’s “ability” to export the Formula Boat is yet another strawman, and irrelevant, argument.

⁶Despite any present misunderstanding, Complainants, however, were obviously aware of the need to prove, or at least allege, an injury *related* to a Shipping Act violation in order for the Commission to have jurisdiction. For example, Complainants falsely pled *under penalty of perjury* in the Complaint (of this proceeding) that the Monterey and Chaparral Boats were not exported from the U.S. to Dubai, despite freight being paid (i.e., an allegation that Shipping Act services were never rendered by Respondent MTL despite payment.) See, Complaint, at ¶ 20 (alleging that “In February 2014, when MTL has still not made any shipment of the boats, Complainants contacted MTL, and requested that MTL *reroute the shipment of all three boats* to Florida, USA.”)(emphasis added).

Whether MTL could or could not export the Formula Boat is not material to the Initial Decision, or to the Shipping Act. Complainants did not make *any allegations whatsoever* in this proceeding (prior to the Initial Decision) relating to whether the Formula Boat “could have” been exported.

Complainants’ allegations are completely unfounded speculation. In this regard, it is undisputed that the Formula Boat was purchased by Car Express and paid for by Car Express on or about August 12, 2013. See, ALJ Findings of Fact in the Initial Decision, 74. Because Car Express purchased the Formula Boat in 2013, Car Express obviously had the authority to execute a Title at any time in 2013, had the Formula Boat *actually been presented* for export. Car Express did not “fraudulently” create a Title for the Formula Boat, nor would there have been any reason or purpose for fraudulently creating a Title. Nor did Car Express “fraudulently” create a Title for a trailer. And, it should go without saying that Complainants did not incur any injury due to Respondent MTL’s alleged “inability” to export the Formula Boat.

Furthermore, any speculation concerning the Title of the Formula Boat or a trailer would not bring this proceeding within the Commission’s jurisdiction. Respectfully, the Shipping Act is not applicable to disputes involving Titles or trailers. For these reasons, Complainants’ Second Petition still fails to meet the standard for reopening of a proceeding, and the Commission should deny Complainants’ Second Petition.

B. Respondent Solovyev was not the owner director of non-party World Express & Connection, Inc. in 2015, but this is not material to the Initial Decision.

Lastly, in order to preempt a February 2018 “Third” Petition to Reopen from Complainants, it was recently brought to Respondent’s attention by Complainants and their

counsel that there may be an issue concerning whether Respondent Solovyev was the “owner” of non-party World Express & Connection, Inc. in 2015.

In this regard, prior to the Initial Decision in this proceeding, Respondent Solovyev represented that he was the “owner, officer, and director” of World Express. ALJ Findings of Fact in the Initial Decision, 23. This was unfortunately incorrectly stated in Respondent Solovyev’s 2015 response to Complainants’ Interrogatories in this proceeding. Respondent Solovyev has now clarified that, in his mindset and due to difficulties in translating and understanding the English language, Respondent Solovyev believed that as the President of World Express and as the person responsible for the warehouse operations, he could represent himself to the public as the “owner” of the company, when, in fact, non-party Raya Bakhirev, was the sole shareholder of World Express.

Ultimately, this salesman “puffing” by Respondent Solovyev does not have any Shipping Act implications, nor does it affect or change the Initial Decision in any way. In this regard, ALJ Guthridge accepted Solovyev’s incorrect representation as a finding of fact, but it was only as non-material background. The absence of a Shipping Act claim or injury, as held in the Initial Decision and as discussed above, was not contingent or in any related to the ownership of non-party World Express. Complainants, in this proceeding, did not take any action in reliance upon the issue of World Express’ ownership. Nevertheless, although this should not constitute a fraud, as a matter of law, because it was not a representation of a material fact nor was there any intent to deceive, it is a mistake by Respondents. But, Respondent Solovyev respectfully submits that such mistake should not prejudice the Commission’s Final Decision.

VII. THERE IS NO LEGITIMATE REASON TO INVOLVE THE BUREAU OF ENFORCEMENT, ESPECIALLY WHEN THIS IS CLEARLY COMPLAINANTS' AND THEIR COUNSEL'S FOLLOWING A PATTERN OF "RETALIATING."

Finally, there is no legitimate reason to involve the Bureau of Enforcement in this proceeding. Respondents did not fraudulently alter evidence or conceal any evidence. Any issue concerning ownership of World Express, while it should have been corrected, is not material and does not change the well-reasoned Initial Decision.

What is more troubling is that this clearly follows Complainants and their counsel's pattern of "retaliating" against a respondent, whenever a Federal Maritime Commission proceeding is against Complainant. It is evident that Complainants and their counsel treat the Commission, and the practice before an Administrative Agency, as a right to exercise a less diligent standard of practice than what would be expected of counsel before the Federal or State courts. This can be seen from the numerous meritless arguments which have been raised in this proceeding.

More importantly, this is well-evidenced from the observation that in this proceeding, and indeed in seemingly every proceeding involving Complainants' counsel, Complainants' counsel inevitably resorts to allegations of "fraud" or "defrauding the Commission" following an adverse decision. See, Baltic Auto Shipping, Inc. v. Michael Hitrinov, FMC Docket No. 14-16, e.g. Complainants September 14, 2017 "Status Report" (accusing the respondents of "perpetra[ting] an obvious fraud upon the Commission"); Igor Ovechnikov, et al. v. Michael Hitrinov, FMC Docket No. 1953(I), Complainants' May 3, 2017 "Exceptions" at p. 47 and *passim* (accusing respondents of committing "a fraud upon this Commission"); MAVL Capital, Inc. et al. v. MTL, FMC Docket No. 16-16, Complainants' September 19, 2017 "Status Report" (accusing

respondents of a “pattern of lies, deceit, and fraud upon a Federal Tribunal and the Federal Courts.”)

Respondents, and the undersigned, apologize in advance to the Commission for needing to bring this to the Commission’s attention, but it is especially troubling when Complainants’ counsel is hiding behind his shield “as an officer of the court” while simultaneously making every possible effort to harass and impugn respondents, to delay proceedings, to bring meritless claims, and now, to retaliate against respondents. There is no legitimate, or non-retaliatory, basis to seek the involvement of the Bureau of Enforcement, and Respondents respectfully will leave any further action to the Bureau of Enforcement’s discretion.

VIII. CONCLUSION

For all the foregoing reasons, Respondents respectfully request that the Commission deny Complainants Second Petition and, to grant all such and further relief as the Commission deems necessary to foreclose any further delay in reaching a Final Decision.

Dated: October 10, 2017
New York, NY

Respectfully submitted,
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By:


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CERTIFICATE OF SERVICE

The undersigned declares under penalty of perjury that the following is true and correct:

1. I am over the age of eighteen years and I am not a party to this action.
2. On October 10, 2017, I served a complete copy of Respondent's REPLY TO COMPLAINANTS' SECOND PETITION TO REOPEN PROCEEDINGS, in Docket

No. 15-04 by E-mail and FedEx to:

Secretary, Federal Maritime Commission
800 N. Capital St., NW.
Washington DC 20573-0001
secretary@fmc.gov

(Original and 5 copies)

And by U.S. mail to:

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Brooklyn, NY 11224
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(Copy only)


Eric Chang

Dated: October 10, 2017
New York, New York